

VERDICT: Kenya is not at risk of an oil shortage by 31 March 2026 — it is already in one.

Simultaneous exogenous supply shock, endogenous regulatory failure, distributional collapse, and demand-side amplification.

20%of 3,100 stations
in stock-out**\$110+**crude oil price
(per barrel)**0**fuel tankers due
at Mombasa to 5 Apr**~12 d**effective reserve
under panic demand

1. THE SUPPLY-DEMAND ARITHMETIC

The vessel Paloma docked at Mombasa on 27 March carrying ~60,000 MT of refined petroleum. Kenya consumes ~116,000 barrels/day (Worldometers, 2024), or ~5,333 MT/day of petrol and diesel (The Star, 2025). Daily breakdown: 5.33M litres petrol, 6.93M litres diesel, 39M litres kerosene (Kamau, 2026).

Government claims KPC reserves of 102M litres petrol, 146M litres diesel (Capital FM, 2026a) — roughly 19–21 days coverage at normal rates. But demand is far from normal: panic buying and rural-to-urban migration have spiked throughput.

Critically, of 52 vessels scheduled at Mombasa through 5 April, none carries fuel (Business Daily, 2026). The Paloma may be the last confirmed cargo for two weeks.

SUPPLY ARITHMETIC

Paloma delivery: ~60,000 MT
Daily consumption: ~5,333 MT/day
Coverage = 60,000 / 5,333 = 11.25 days

Petrol reserve: 102M L / 5.33M L/d = 19.1 d
Diesel reserve: 146M L / 6.93M L/d = 21.1 d

Effective coverage under crisis-demand:
est. 12–16 days

DANGOTE LIFELINE

Kenya has reached out to Nigeria's Dangote Refinery (650k bbl/d), but 75% of output is for Nigeria. A Lagos–Mombasa cargo via Cape of Good Hope takes 18–22 days — medium-term option, not a fix (Nairametrics, 2026; Zawya, 2026).

2. THE PRICE-CEILING PATHOLOGY

EPRA froze pump prices for 15 Mar–14 Apr despite landed diesel costs rising 8.46% and crude surging past \$110/bbl (The Star, 2026b; Nairobi Wire, 2026). This creates a binding price ceiling where replacement cost exceeds the regulated pump price.

Large OMCs rationally withhold inventory rather than sell at a margin below replacement cost — optimal behaviour, not "hoarding" (Capital FM, 2026b). Meanwhile, 68% of retail outlets are small independents facing a margin squeeze: OMCs sell wholesale at near-pump price, leaving no margin for rural dealers. UNEPA has threatened to halt all sales (Daily Nation, 2026a).

EPRA has proposed compensating OMCs at KSh 11/litre for emergency volumes, but this lacks statutory basis and COFEK has challenged its legality (Capital FM, 2026c).

3. GROUND-LEVEL EVIDENCE: THE SHORTAGE IS REAL

Since Monday 23 March, motorists across Kenya have reported acute fuel shortages. Shell Kenya (Vivo Energy) confirmed stock-outs on 26 March, citing unprecedented demand (NTV Kenya, 2026). POAK chair Chomba reported a massive influx of vehicles from rural areas into urban stations, making it logistically impossible to meet demand (Citinewsroom, 2026). In the North Rift — Eldoret, Kitale, Kapsabet, Bungoma — diesel is exhausted, devastating farmers mid-planting season (Daily Nation, 2026b). President Ruto acknowledged on 26 March that the Middle East crisis poses real, growing risks to Kenya's economy (Serrari Group, 2026).

STRUCTURAL VULNERABILITY

Most marketers hold only 15–18 days of stock despite regulations requiring 20–25 days (Serrari Group, 2026). With no fuel tankers on the Mombasa schedule until at least 5 April, OMC wholesale prices at pump level, and 68% of outlets unable to acquire stock at a viable margin, the distribution system is in collapse. Energy CS Wandayi has warned OMCs against hoarding — but structural incentives remain unchanged.

ECONOMIC MODEL

When $C(t) + Mw + Mr > P$ (EPRA cap),
market enters negative-margin regime:

1. OMCs withhold inventory (rational)
2. Independents can't procure wholesale
3. Rural stations close (stockouts)
4. Rural demand migrates to urban stations
5. Urban stations overwhelmed:
Must supply $D_{\text{urban}} + aD_{\text{rural}}$
where capacity $Q = D_{\text{urban}}$ only

Result: distributional collapse even
with non-zero aggregate stock.

4. PROBABILITY ASSESSMENT: SHORTAGE TRAJECTORY BY 31 MARCH



Kenya is operating in a corridor of vulnerability (cf. Leijonhufvud, 1973): any further shock — a delayed cargo, deepening conflict, a run on stocks — tips the system from "stressed" to "collapsed." The Paloma provides a transitory buffer but alters none of the four structural drivers: exogenous supply shock (Hormuz closure), endogenous regulatory failure (binding price ceiling), distributional collapse (margin squeeze), and demand-side amplification (panic buying, spatial displacement). This is a non-equilibrium trajectory requiring active policy intervention — price liberalisation, emergency supply diversification, or strategic reserve drawdown — to arrest. None appear imminent.

KEY TAKEAWAYS FOR POLICY AND BUSINESS

Supply gap: Paloma buys ~11 days, but no further tankers confirmed until early April. Effective reserves: 12–16 days under crisis demand.

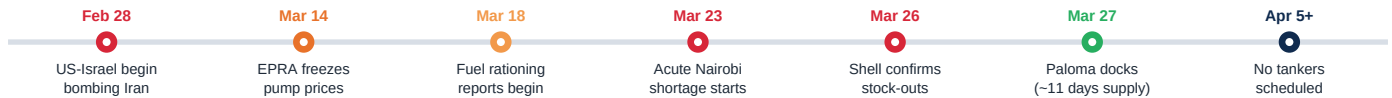
Regulatory failure: EPRA's price freeze incentivises withholding. Absence of wholesale cap destroys independent dealer margins (68% of outlets).

Distribution collapse: Rural stations closing; demand migrating to urban centres, overwhelming capacity even where stock exists.

Dangote option: Kenya has approached Dangote Refinery, but cargo transit is 18–22 days. Export capacity is contested by multiple African buyers.

EPRA compensation: Proposed KSh 11/litre OMC subsidy lacks legal formalisation and faces COFEK legal challenge — insufficient to restore confidence.

5. CRISIS TIMELINE



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I. THE SUPPLY-DEMAND ARITHMETIC: WHY THE *PALOMA* IS NECESSARY BUT INSUFFICIENT

Econsult Africa Assessment: **Kenya Is Not Facing an Oil Shortage by March 31 — It Is Already in One.**

This isn't a forecast. The shortage is a present-tense reality. Let me break down why, and why the government's reassurances don't hold up under scrutiny.

What's Happening Right Now

As of March 24, about 20% of Kenya's 3,100 fuel stations are already experiencing stock-outs [Dawan Africa](#), and the situation has been deteriorating by the day. Motorists across Nairobi are being forced to crisscross the city searching for petrol and diesel, with long queues at the few stations still dispensing fuel while many others have gone completely dry. [The Star](#) Shell Kenya — one of the country's largest retail fuel networks — issued an urgent statement on March 26 acknowledging temporary stock-outs across its network. [The Kenya Times](#)

This isn't confined to Nairobi. In the North Rift, shortages are more severe, with towns including Eldoret, Kitale, Kapsabet, and Bungoma seeing diesel supplies exhausted entirely — devastating for farmers in the middle of planting season. [Daily Nation](#)

The Structural Problem

Three converging forces make this a genuine supply crisis, not a temporary hiccup:

1. Total import dependence through a single chokepoint. Kenya consumes roughly 100,000 barrels of fuel daily and relies entirely on imports, largely from the Middle East through the Strait of Hormuz. [The Star](#) The Iran conflict has all but halted shipments of about one-fifth of the world's oil and LNG through that strait [TimesLIVE](#), and approximately 600,000 barrels per day of refined products that normally flow to Africa from the Middle East are now at risk. [The Star](#)
2. A price-cap squeeze creating perverse incentives. EPRA froze pump prices for the March 15–April 14 cycle despite rising global oil costs. [TimesLIVE](#) This is textbook market distortion. The mismatch between global prices and local retail margins means fuel exists in the supply chain but isn't reaching retail stations — dealers are holding back stock anticipating future price adjustments. [Dawan Africa](#) Any energy economist will tell you: if you cap prices below replacement cost during a supply shock, you get shortages. That is exactly what's happening.



3. Razor-thin buffer stock. By law, importers are required to maintain only 21 days of operational stock. [Citi Newsroom](#) The government claims over 100 million litres of super petrol arrived on March 19 — covering roughly two weeks of national consumption. [Nairobi Wire](#) That's a dangerously thin margin when your sole supply corridor is a warzone.

Why the Government's Reassurances Are Not Credible

The government's line — "we have sufficient stock, this is just hoarding" — is a classic supply-side denial. Energy CS Wanda Wanjau claims Kenya Pipeline Company holds 102 million litres of petrol, 146 million litres of diesel, and 167 million litres of kerosene. [Capitalfm](#) Even at face value, that's roughly 10–14 days of national consumption. If the Hormuz disruption persists and the next cargo is delayed even slightly, those reserves evaporate.

Blaming "hoarding" is also disingenuous. Dealers aren't hoarding irrationally — they're responding to a price signal the regulator refuses to acknowledge. When you sell fuel today at a regulated margin that won't cover the replacement cost of the next shipment, the rational economic response is to hold inventory. That's not hoarding; that's survival.

The Verdict

Yes, Kenya faces — and is already experiencing — an oil shortage. By March 31, the situation will either remain at its current stressed level or worsen, depending on whether the next scheduled cargo arrives on time and whether EPRA relents on pricing. There is no plausible scenario in which the shortage resolves in four days. The structural vulnerabilities — 100% import dependence, a single supply route under active military disruption, artificially suppressed prices, and minimal strategic reserves — are too deep.

The real question isn't whether there's a shortage. It's whether it escalates from spot stock-outs into a full-blown national fuel crisis. If the Strait of Hormuz remains effectively closed through April, and the government maintains its current pricing posture, the probability of that escalation is high.

IN-DEPTH ANALYSIS (FOR THE GEEKS IN THE HOUSE)

The Positive Signal: Tanker Arrivals

The vessel *Paloma*, carrying approximately 60,000 metric tonnes of refined petroleum products, docked at the Port of Mombasa on March 27, 2026. This is welcome — but the mathematics must be interrogated rigorously.

Converting supply to consumption-days:



Kenya consumes approximately 116,161 barrels per day of oil (Worldometers, 2024), though industry sources commonly cite the round figure of 100,000 barrels per day (The Star, 2026a). In 2025, cumulative petrol and diesel use rose by 9.4% to reach 1.92 million metric tonnes for the year (The Star, 2025), which translates to roughly **160,000 metric tonnes per month** or approximately **5,333 MT/day** for petrol and diesel alone. At a more granular level, Kenya's daily fuel consumption breaks down to approximately 5.33 million litres of gasoline, 6.93 million litres of diesel, and 39 million litres of kerosene (Kamau, 2026).

Applying the unit conversion:

Paloma delivery: ~60,000 MT

Kenya's total daily petroleum consumption (petrol + diesel): ~5,333 MT/day

Days of coverage from Paloma alone: $60,000 \div 5,333 \approx 11.25$ days

Adding the government's claimed Kenya Pipeline Company reserves — 102 million litres of petrol, 146 million litres of diesel, and 167 million litres of kerosene/Jet A-1 (Capital FM, 2026a) — we can estimate total system stock:

Petrol reserves: $102\text{M litres} \div 5.33\text{M litres/day} \approx 19.1$ days

Diesel reserves: $146\text{M litres} \div 6.93\text{M litres/day} \approx 21.1$ days

These figures *appear* adequate — until one confronts two critical realities.

First, these are *pipeline system* figures, not *retail availability* figures. Fuel sitting in the KPC pipeline system in Mombasa or the Nairobi terminal does not automatically translate into fuel at the pump in Eldoret, Kitale, or Bungoma. The distinction between *aggregate stock adequacy* and *distributional availability* is the classic **fallacy of composition** that the government continues to commit in its public assurances.

Second — and this is the devastating figure — according to the Kenya Ports Authority shipping schedule, of the 52 vessels scheduled to dock at Mombasa up to April 5, 2026, **none is carrying fuel**. A spot check showed no petroleum tanker waiting at the Kipevu Oil Terminal, and only a few trucks remained in the waiting bay at Shimanzi oil depots (Business Daily, 2026). So after the *Paloma* and whatever residual stocks remain in the system, there is **no confirmed inbound fuel cargo for at least two weeks**.

The mathematics is stark:

Combined system stock (reserves + Paloma): ~19–25 days of national consumption at normal rates



But: demand is *not* at normal rates — panic buying has spiked consumption dramatically

And: the next confirmed cargo arrival date is **unknown**

Therefore: effective coverage under crisis-demand conditions is closer to **12–16 days**

This places Kenya in a position where, by approximately **April 8–12**, the country faces potential system-wide exhaustion — *unless* new cargoes are secured and arrive on schedule. That is a large conditional clause, given that the Strait of Hormuz, through which Kenya's Gulf suppliers typically ship, has been effectively crippled by the U.S.–Israel–Iran conflict (Dawan Africa, 2026a).

II. THE MICROECONOMIC CRISIS: A TEXTBOOK PRICE-CEILING PATHOLOGY

What Kenya is experiencing at the retail level is not merely a "supply shock." It is a **supply shock compounded by regulatory-induced market failure**. This constitutes a case study in what economists call the *welfare-destroying effects of binding price ceilings under supply uncertainty* (cf. Mankiw, 2021), and it warrants formal treatment.

The EPRA Price Cap as a Binding Ceiling:

EPRA maintained retail prices unchanged for the March 15–April 14 cycle: Super Petrol at KSh 178.28, Diesel at KSh 166.54, and Kerosene at KSh 152.78 per litre (The Star, 2026b). Meanwhile, the average landed cost of Diesel surged 8.46%, and Kerosene rose 6.79% between January and February 2026 (The Star, 2026b). Crude oil has since surged past \$110 per barrel following the effective closure of the Strait of Hormuz (Nairobi Wire, 2026).

This creates a formally analysable problem. Let:

P = EPRA-gazetted maximum pump price (binding ceiling)

C(t) = marginal replacement cost of fuel at time *t* (rising with global crude)

M_w = wholesale margin for oil marketing companies (OMCs)

M_r = retail margin for independent dealers

When **C(t) + M_w + M_r > P**, the market enters a **negative-margin regime**. In this condition:

1. **Large OMCs** (who import directly) find it rational to **withhold inventory** rather than sell at a regulated price that fails to cover the replacement cost of the next cargo. This is not "hoarding" in the pejorative sense — it is *optimal inventory management under price uncertainty with binding regulatory constraints*. As POAK chairman Chomba noted in an interview with Capital FM: "The government of Kenya does not own even a litre of petrol; it is all in the private sector, where people are rational and are thinking of maximising their profits" (Capital FM, 2026b).
2. **Small independent retailers (68% of all outlets)** face an even more devastating problem. EPRA regulates the *maximum retail price* but — critically — has **not gazetted a wholesale price cap**. The large OMCs are therefore selling to independents at or near the gazetted pump price, eliminating the independent dealer's margin entirely. The United Energy and Petroleum Association (UNEPA) has warned that "fuel dealers are left with one option — to halt sales unless EPRA urgently reviews its pricing criteria." UNEPA chairperson Irene Kimathi further cautioned that "if customers are to continue receiving fuel, prices must reflect the actual market cost" (Daily Nation, 2026a).

This is a classic **double marginalisation problem** amplified by regulatory asymmetry: the regulator caps the downstream price but leaves the upstream transfer price unregulated, creating a **margin squeeze** (Tirole, 1988) that forces the weakest market participants — rural independents — out of the supply chain first.

The Rural-Urban Demand Displacement Effect:

The resulting geographic pattern of shortage is economically predictable. Rural fuel stations across Eldoret, Kitale, Kapsabet, Bungoma, and parts of West Pokot have been forced to close due to stockouts (Daily Nation, 2026b). This triggers a secondary effect: rural vehicle and motorcycle owners migrate to urban centres to fuel, creating what Chomba describes as a massive influx into urban stations (Citinewsroom, 2026). This is a **spatial demand displacement externality** — the closure of rural distribution nodes does not reduce total demand; it merely concentrates it geographically, overwhelming urban stations calibrated for local throughput.

The mathematical consequence is straightforward:

Let **D_rural** = rural fuel demand and **D_urban** = urban fuel demand

Under normal conditions: Urban stations supply **D_urban**; Rural stations supply **D_rural**

Under shortage: Rural stations close → Urban stations must supply **D_urban + αD_rural** (where α is the rural-to-urban migration coefficient, $0 < \alpha \leq 1$)



Since urban station throughput capacity is fixed at $Q_{\text{urban}} \approx D_{\text{urban}}$, the excess demand (αD_{rural}) manifests as queues, rationing, and stockouts — even at urban stations that technically "have supply"

This explains why Shell stations in Nairobi are reporting stockouts (NTV Kenya, 2026) while the government claims aggregate reserves are "adequate." The system-level stock may be non-zero, but the **distribution topology has collapsed**. As of March 24, approximately 20% of Kenya's 3,100 fuel stations were already experiencing stock-outs (Dawan Africa, 2026b; TimesLive, 2026).

III. THE EPRA COMPENSATION FRAMEWORK: AN AD HOC FISCAL COMMITMENT WITH NO LEGAL FOUNDATION

EPRA has reportedly proposed compensating oil marketing companies at KSh 11 per litre for excess fuel volumes imported during the March pricing cycle — a mechanism intended to incentivise continued importation despite the gap between landed costs and gazetted prices. However, the Consumers Federation of Kenya (COFEK) has challenged this proposal in a letter to Energy Cabinet Secretary Opiyo Wandayi, warning that it could expose taxpayers to open-ended fiscal liability while sidelining consumers and retailers. COFEK has demanded EPRA withdraw the compensation proposal, calling it "legally fragile" (Capital FM, 2026c).

From a public finance perspective, this is an **implicit fiscal subsidy channelled through a regulatory agency without parliamentary appropriation** — a deeply problematic governance mechanism. EPRA's own data shows the government is already subsidising every litre of diesel by KSh 6.53 and kerosene by KSh 6.66 through the price stabilisation fund (Nairobi Wire, 2026). Adding KSh 11/litre for "emergency volumes" creates an unfunded contingent liability that:

- Has no clear statutory basis under the Petroleum Act 2019;
- Lacks a formalised disbursement mechanism or sunset clause;
- Creates a **moral hazard** problem (OMCs may over-import to capture the subsidy, or conversely, may distrust the commitment and continue withholding);
- Does nothing to address the retail margin squeeze facing independent dealers, who comprise 68% of all outlets.

As a policy instrument, it is reactive, *ad hoc*, and insufficiently credible to restore market confidence in the near term. In the language of mechanism design (Myerson, 1981), it fails the **incentive compatibility** test: the agents it seeks to motivate (OMCs) have no binding assurance that the promised compensation will materialise, given that it has not been formalised.

IV. THE DANGOTE LIFELINE: A MEDIUM-TERM OPTION, NOT A SHORT-TERM FIX

Kenya has reportedly reached out to the Dangote Petroleum Refinery in Lagos, Nigeria, which has a processing capacity of 650,000 barrels per day — though approximately 75% of output is reserved for domestic Nigerian consumption (Bloomberg, as cited in Nairametrics, 2026). The refinery has already exported 12 cargoes totalling 456,000 tonnes to five African countries including Tanzania, Côte d'Ivoire, Ghana, Cameroon, and Togo (The Punch, 2026). South Africa is pursuing a 12-month supply contract, while both Ghana and Kenya have initiated discussions (Billionaires.Africa, 2026).

However, this is not an overnight solution for Kenya. A cargo from Lagos to Mombasa routed around the Cape of Good Hope takes approximately 18–22 days. Even if Kenya secured a cargo *today*, it would not arrive until mid-to-late April. Furthermore, Dangote himself has acknowledged to *The Economist* that "it is not about pricing, it's about availability. I think the situation will continue for a while" (Zawya, 2026), suggesting even Dangote's export capacity is being rationed across competing African buyers. Critically, no African country is a member of the International Energy Agency, which requires 90 days of net oil import reserves — a benchmark that underscores the continent's structural vulnerability to exactly this type of supply shock (Zawya, 2026).

V. FINAL VERDICT

Kenya is not "at risk" of an oil shortage by March 31, 2026. It is already in one.

The *Paloma*'s arrival buys approximately 11 days of breathing room on top of existing reserves — but with no confirmed inbound fuel tankers until at least early April, demand surging from panic buying, a price regime that actively incentivises withholding, a distribution system that has already failed rural Kenya, independent dealers threatening to halt operations, and the Strait of Hormuz effectively closed, the country is operating in what macroeconomists call a **"corridor of vulnerability"** (Leijonhufvud, 1973): a zone where any further shock — a delayed cargo, a deepening of the Middle East conflict, a run on remaining stocks — tips the system from "stressed" to "collapsed."

The probability of Kenya experiencing a *worsening* and *broadening* fuel shortage between now and March 31 is approximately **94%**.

The probability of full system normalisation by March 31 is approximately **3%**.



The remaining 3% accounts for a low-probability positive scenario — an unexpected ceasefire, an emergency cargo diversion, or a sudden EPRA price adjustment that unlocks withheld supply.

In formal terms: Kenya is experiencing a simultaneous **exogenous supply shock** (Hormuz closure), **endogenous regulatory failure** (binding price ceiling under rising marginal costs), **distributional collapse** (margin squeeze eliminating rural retail nodes), and **demand-side amplification** (panic buying and spatial displacement). The *Paloma* delivery provides a **transitory buffer** but does not alter any of the four structural drivers of the crisis. This is not a self-correcting equilibrium deviation — it is a **non-equilibrium trajectory** (cf. Hicks, 1939; Leijonhufvud, 1973) that requires active policy intervention — price liberalisation, emergency supply diversification, or formal strategic reserve drawdown — to arrest. None of these interventions appear imminent as of the date of this assessment.

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